Rent vs Buy Calculator

Personal Financial Scenario Report

United States · USD

fincalcsmart.com/rent-vs-buy-calculator

EXECUTIVE SUMMARY

Renting Likely Advantageous

$228,000	$365,000	$137,000	None in horizon	Rent
Total Rent Cost	Total Buy Cost	Net Difference **Favours renting**	Break-Even Year	Decision

TOTAL COST COMPARISON (RENT VS BUY)

Total projected: $593,000

- Total Rent Cost: $228,000 (38.4%)
- Total Buy Cost: $365,000 (61.6%)

AI-ASSISTED RENT VS BUY SUMMARY

Over a 7-year horizon, total estimated rent cost is $228,000 and total net buy cost (including equity offset) is $365,000. Net difference: $137,000 favours renting. Decision: Rent. No break-even within the horizon.

Monthly ownership cost at closing: $5,008.00 (P+I: $3,916.00, taxes/insurance/maint: $1,092.00). Down payment: $140,000 (20.0% of purchase price). Opportunity cost of down payment at 7% assumed return: $91,700. Projected equity at end of horizon: $175,000. Top cost driver: Ownership Costs. US mortgage uses monthly compounding.

This comparison is a simplified model. Home appreciation (1%), rent growth (3%), and investment return (7%) are assumptions, not guarantees. Transaction costs, CMHC/PMI premiums, major repairs, and tax treatment (FHSA, First Home Buyer credits) are not modeled. The decision to buy or rent also involves lifestyle, job stability, and local market conditions not captured here.

INPUTS & ASSUMPTIONS

Monthly Rent	**$2,600.00**
Rent Annual Increase	**3%**
Purchase Price	**$700,000**
Down Payment	**$140,000 (20.0%)**
Mortgage Rate	**7.5%**
Amortization	**30 years**
Property Tax	**1.1%/yr**
Insurance + Maintenance	**$450.00/mo**
HOA/Condo Fees	**$0.00/mo**
Home Appreciation	**1%/yr**
Investment Return (DP)	**7%/yr**
Closing Costs	**2%**
Horizon	**7 years**
Region	**United States**

DETAILED RESULTS

Monthly P+I Payment	**$3,916.00**
Monthly Ownership Cost	**$5,008.00**
Total Rent Cost	**$228,000**
Total Buy Cost (Net)	**$365,000**
Net Difference	**$137,000**
Favours	**Renting**
Break-Even Year	**None in horizon**
Projected Equity	**$175,000**
Opportunity Cost (DP)	**$91,700**
Top Cost Driver	**Ownership Costs**
Decision	**Rent**

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Home appreciation of 1%/yr builds equity over time -- projected equity of $175,000 at year 7 is a key offset against the higher upfront cost of buying.
- Rent growth of 3%/yr compounds over the horizon. At longer horizons, rising rent can make buying more attractive even if early monthly costs are higher.
- Down payment opportunity cost of $91,700 ($140,000 at 7%/yr for 7 yr) represents the foregone investment return by locking capital in a down payment.

METHODOLOGY

What this calculator models:

- Rent path: cumulative rent payments compounded with 3%/yr annual rent growth over the horizon.
- Buy path: mortgage P+I + property tax + insurance/maintenance + HOA, minus projected equity (based on home appreciation of 1%/yr), plus closing costs and opportunity cost of down payment at 7%/yr.
- Break-even year: earliest year where cumulative buy net cost falls below cumulative rent cost. Decision threshold: >5% difference = clear winner; otherwise "Close".
- US mortgage: monthly compounding. Effective monthly rate = annualRate / 12.

What this calculator does not model:

- CMHC (CA) or PMI (US) mortgage insurance premiums for low down payments.
- Tax benefits: mortgage interest deduction (US), First Home Savings Account (CA), or First Home Buyer credits.
- Capital gains tax on home sale or principal residence exemption.
- Major repairs, renovations, or special assessments beyond the maintenance estimate.
- Strata/HOA special levies or reserve fund assessments.
- Variable rate resets, mortgage renewal rates, or refinancing scenarios.
- Rental income if part of the purchased property is rented.

EDUCATIONAL DISCLAIMER

This report is for educational and illustrative purposes only. Rent vs. buy projections are based on the assumptions entered and do not reflect actual market conditions, guaranteed appreciation rates, or tax obligations. The decision to rent or buy is highly personal and depends on local market dynamics, income stability, lifestyle goals, and individual financial circumstances not captured in this model. This does not constitute financial, mortgage, or real estate advice. Consult a licensed mortgage professional and a qualified financial advisor before making a purchase decision.